

ALL FALL DOWN

After the secondary market, it's the turn of the primary market to catch a cold. FII pull-out and US recession are adding to the woe.

■ By Malini Bhupta

Anil Ambani's ambitions of becoming the world's richest man will have to wait. The junior Ambani may have set new records in raising money for his newly-minted company Reliance Power, but the markets are in no mood to celebrate. Thanks to the January stock market crash, which shaved 40 per cent off the Sensex market capitalisation in a matter of days, it's now the turn of the primary market to pay for its irrational exuberance and over-the-top-valuations.

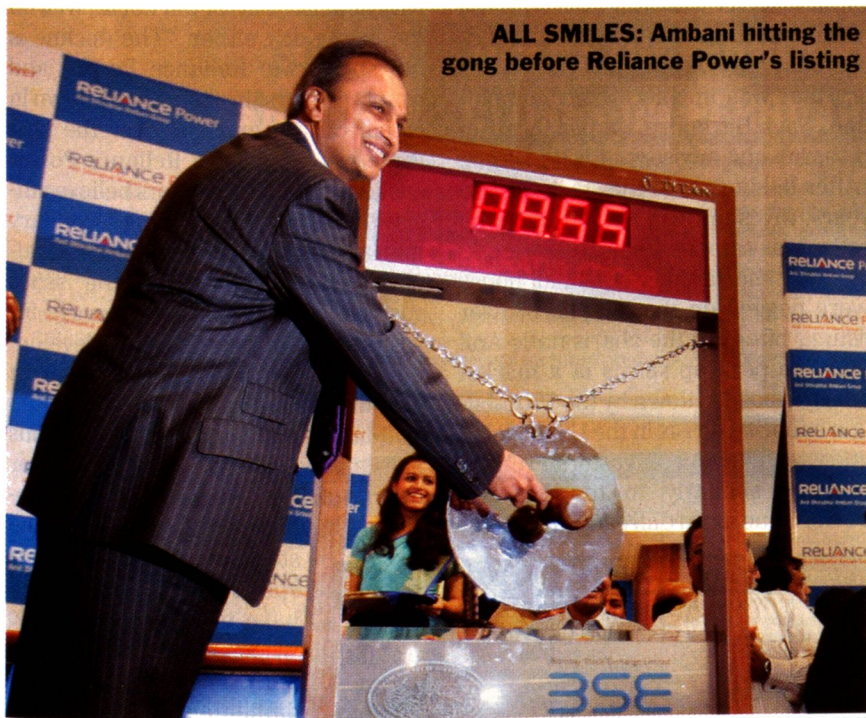
With foreign institutional investors taking a rain check on India and recession in the US threatening to slow down global growth, the stock markets are now looking beyond the feel-good factor. All promoters seeking large amounts of money from markets are in for a tough time especially if they have nothing to show on the ground in terms of revenues or profits. With the Sensex plummeting to sub-16,000 levels, in just five trading sessions after having crossed the peak of 21,000 on January 10, this has only spelt doom for the

mega initial public offerings (IPOs) of Reliance Power, Emaar MGF and Wockhardt Hospitals.

While Reliance Power's issue not only sailed through but set new records, given that it was oversubscribed 73 times and garnered an astronomical \$190 billion, followers like Emaar MGF, Wockhardt Hospitals and SVEC Constructions struggled for a few days before pulling out of the issue as both institutional and retail investors kept away. Real estate firm Emaar MGF, which hit the capital market on February 1 with a public issue of 10.25 crore equity shares of Rs 10 each through a 100 per cent book building, cut its price band to Rs 540-630 per share from the earlier Rs 610-690. The price band was reduced with the aim of attracting more investors considering the prevailing conditions in the domestic as well as global finance markets. At the upper end of the band, the joint venture between Dubai-based Emaar Properties and India's MGF Development hoped to raise about Rs 6,457 crore while at the lower end it expected to mop up around Rs 5,535 crore. But last week, it had to pull out of the IPO as subscriptions sank to 43 per cent, from 83 per cent the previous day.

After Emaar MGF called off its issue, SVEC Constructions deferred its issue closure by three days and revised its price band. Says S. Ramesh, chief operating officer of Kotak Institutional Broking: "IPOs are hugely dependent on the state of the market, the sector and the performance of the company. It's time investors chose companies rather than IPOs to make listing gains."

While recalling of issues may not spell good news for companies and merchant bankers, it's certainly good for investors as more often than not



AP PHOTO/RAJESH NIRGUDE

RELIANCE Power
Anil Dhirubhai Ambani Group

RELIANCE POWER

ISSUE SIZE: The company raised Rs 11,700 crore. Issue was oversubscribed 73 times.

ISSUE DATE: January 15

IMPACT: Listed at Rs 450 on Feb 11. Opened at Rs 530 but closed at Rs 372 the same day.

EMAAR MGF

ISSUE SIZE: The issue aimed to mop up Rs 6,258-7,079 crore through 10.26 crore shares.

ISSUE DATE: February 1

IMPACT: Price band cut from Rs 610-690 to Rs 540-630. Called off later due to poor response.

WOCKHARDT HOSPITALS

WOCKHARDT HOSPITALS

ISSUE SIZE: Nearly Rs 800 crore was initially planned to be raised through 2.5 crore shares.

ISSUE DATE: February 1

IMPACT: Price band was lowered from Rs 280-310 to Rs 225-260 a share. Was shelved finally.